a member of the Legislature was disqualified from serving on the Central or Local Board of the bank. The bank indicated that it had no strong conviction in the matter. Other changes included sections on the supercession of the Central Board and providing for constitution of a Reserve Fund. The bank had wanted these dropped but on reconsideration, Deshmukh concurred with the government and both were retained. The clause relating to exercise by the bank's executives of full powers vested in the Board was also modified.[14]

The Bill was moved for consideration in the Legislative Assembly on September 2, 1948, by K.C. Neogy, Minister for Finance and Commerce, and was passed the next day. Some changes which were proposed during discussion and adopted included removal of the limitation on tenure of office of Directors and increasing the members of the Local Boards from three to five. On January 1, 1949, the bank became a State-owned institution, in terms of the Reserve Bank (Transfer to Public Ownership) Act, 1948. The nationalization of the bank was in line with the general trend towards nationalization of central banks abroad, which had commenced a few years before the outbreak of the Second World War, and which gathered momentum after the war ended. In Denmark and New Zealand, the central banks were nationalized in 1936; Canada followed suit in 1938. After the Second World War, the Bank of France (January 1946), the Bank of England (March 1946), and the Bank of the Netherlands (August 1948) were nationalized.

Deshmukh's term should have ended in August 1949, but he was given an extension of one year as the government was keen that he draft the proposals for the nationalization of the bank. Six years later, in 1955, the Imperial Bank of India was nationalized and became the State Bank of India.